



DAN-O'S[®]

— SEASONING —

X

popchips[®]



Popping into the snack market through a strategic partnership

Table of Contents

● Executive Summary.....	1-2
● Navigating Challenges.....	3
● popchips x Dan-O's.....	4
● Sales Locations.....	5
● Snack food industry report.....	6
● Convenience for Consumers.....	7
● Convenience for Dan-O's.....	8
● Implementation/Financials.....	9
● Timeline.....	10
● Closing Thoughts.....	11
● Mitigating Risks.....	12-13
● SWOT Analysis.....	14-15

List of Figures

1

“Design of the
popchips x Dan-O’s
chip bag”
pg. 4

2

“Product Sale
Details”
pg. 5

3

“Percentage of
consumers who are
motivated to snack if
the choice of snack is
healthy”
pg. 6

4

“Snack food
industry revenue
projections”
pg. 6

5

“Percentage of
consumers who
agree that snack
foods are a good
opportunity to try
new flavors”
pg. 7

6

“Quote from co-
founder of
popchips Kieth
Belling”
pg. 8

Executive Summary

Report Objectives

The purpose of this report is to explore the process by which Dan-O's can break into the snack food market through a partnership with popchips. This report will highlight the current state of Dan-O's identifiable problems that may be solved with a popchips partnership, as well as why a partnership with popchips will incur minimal production and distribution expenses, with the possibility of increased customers and revenue.

Dan-O's Opportunities

By utilizing research between the snack food and seasoning industries, as well as consumer responses to Dan-O's flavors, it can be determined that a "Dan-O's flavored" chip will provide the company with the opportunity to expand into a new target market. By allowing consumers an easier and quicker way to experience Dan-O's flavors, Dan-O's x popchip customers will be more likely to purchase the seasoning that coats the chips that they love.

Executive Summary Cont.

Current State of Dan-O's Seasoning

Dan-O's currently offers eight different seasoning flavors, recently announcing their newest "Tac-O" seasoning. With a combined social media following of over eight million people as well as 100 million monthly social media views, Dan-O's has a prominent presence online. Now in over 13,000 retail locations, Dan-O's is in an exciting position for expansion. Through the use of a strategic partnership with popchips, Dan-O's can effectively market and make a "popchips x Dan-O's" product successful.

Market Analysis

The primary focus for Dan-O's is to obtain a position within the snack food industry through a partnership with popchips. With both companies already well-established within the United States, popchips will be able to handle the majority of production and distribution, minimizing costs for Dan-O's. Primary marketing will be most successful through Facebook and TikTok, utilizing the strong social media presence that Dan-O's has built. With this partnership, Dan-O's has the opportunity to gain a needed competitive advantage against other established seasoning and snack food companies.

Dan-O's SCQA Analysis

Situation:

Dan-O's Seasoning is a seasoning spice brand that has impressively grown since starting in 2017 in Louisville, Kentucky. Dan-O's is available online as well as in brick-and-mortar stores such as Kroger, Safeway, Publix, and Walmart. Their main form of advertising is social media, with Facebook, TikTok, and Instagram racking up 7 million followers and approximately 100 to 150 million views every month (EY Case). This aligns with their target demographic, which is predominantly millennial home and health-conscious cooks.

Complication:

Even with Dan-O's success and increasing revenue sales, there is still room for improvement. Reaching out to the older generations, converting social media followers into buyers, and increasing sales volume are three key issues that can be addressed. Right now, Dan-O's has a strong social media presence but only has around 2 million shoppers per year (EY Case). There are also strong competitors in the seasoning/spice market, such as McCormick, Unilever, and Kraft Heinz. The four largest competitors in the spice industry make up roughly 40% of the market (IBIS World). Spices and seasoning as a whole are not everyday groceries, which can create inconsistent sales. Dan-O's will need to strengthen their brand recognition and reach new audiences to reach their goals of increased sales volume and gaining more presence in the market.

Question:

How can Dan-O's reach their goals of increasing sales and establishing a strong brand name?

Answer:

Dan-O's Seasoning can collaborate with popchips. popchips is a non-fried chip brand that is a healthy alternative to the normal potato chip. Dan-O's and popchips can create a new product, a popchip flavored with Dan-O's seasoning.

popchips x Dan-O's

Dan-O's should establish a relationship with popchips and collaborate on a new product. Their new product would be a standard popchips chip flavored with Dan-O's original blend seasoning, with minor changes to it if needed to better suit the needs of the chip. The chip would be a low-fat, calorie, and sodium chip that is also un-fried to align with both of their values of providing healthier alternatives to consumers.



Figure 1

Sale Locations

This new product would be sold online on Dan-O's and popchips' website and in retail locations. Primarily grocery stores since they are the largest sellers of snack foods. This is a plus for Dan-O's since they already have relationships established with grocery stores such as Publix, Kroger, and Safeway. Being sold at grocery stores would bring huge traction to the product, given how popular snack foods are at grocery stores.



Weight	Amount (bags)	Prices
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0.8oz	12 or 24	\$17 or \$28
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5oz	4 or 12	\$24 or \$50
-----	---------	--------------

1.56 pounds	1	\$30
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The snack food industry: The perfect market for expansion

Partnering with popchips allows Dan-O's to penetrate a large market and boost brand awareness. According to Statista, the snack food market is a \$578.1 billion industry and is expected to grow annually by 6.13%. Within this market, there is a lot of room for product differentiation, especially when it comes to healthy snacks. A partnership with pochips, a niche, healthy chip brand, allows Dan-O's to penetrate the industry without compromising their brand's dedication to healthy ingredients and products.

47%

Percentage of consumers who are motivated to snack if the choice of snack is healthy (Mintel)

Figure 2

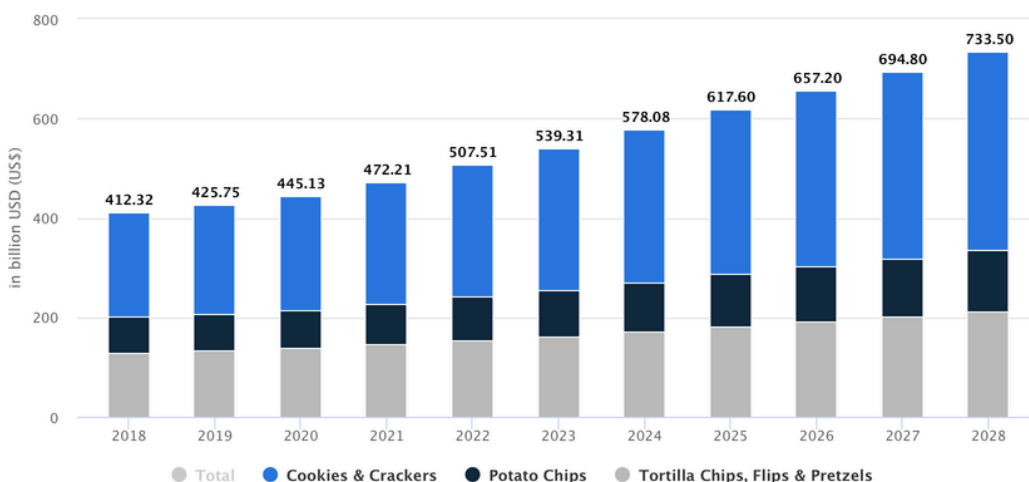


Figure 3

Snack food industry revenue projections (Statista)

Convenience is king: The most accessible option for reaching consumers

A partnership with popchips allows new consumers to conveniently try Dan-O's seasonings and flavors. While returning customers enjoy Dan-O's seasonings, it's hard for new consumers to experience the flavors that Dan-O's provides without buying an entire bottle of seasoning. Consumers are more likely to sample the flavors Dan-O's provides in a less expensive, easier-to-consume form. Partnering with popchips not only helps Dan-O's reach consumers looking to try their seasoning flavors, but it can also persuade consumers to buy their traditional seasonings.



Percentage of consumers who agree that snack foods are a good opportunity to try new flavors

Figure 4



popchip's role as a willing and convenient partner for Dan-O's

Being an established, international company, popchips will be able to handle the majority of the Dan-O's x popchips production and distribution. The cost to Dan-O's, beyond the development stage, should be minimal, as popchips already has an established production system for their chips. Every popchip is created the same way, in a highly pressurized environment, and then is "massaged with different spices and seasonings" (popchips). With popchips handling production and distribution, Dan-O's will only have to provide their seasoning to popchips' production facilities, allowing them to toss a portion of their chips with Dan-O's original seasoning.

Quote from co-founder of popchips Kieth Belling

"At some point, we hope we're lucky enough to find the right partnership"(Forbes)

Figure 5

Implementation Plan and Financials

Implementation Plan

The implementation strategy for launching a collaborative product line between Dan-O's and Popchips begins with establishing a mutually beneficial partnership. As the larger entity, Dan-O's can leverage its resources to initiate discussions, aiming to forge a strategic partnership focused on co-developing and co-branding a series of healthy snack options.

The initial phase, including negotiations and the signing of the partnership, could span approximately 3 to 6 months, allowing both companies to align their goals, expectations, and marketing strategies. The development of the new Pop Chips x Dan-O's products would follow, starting with the integration of Dan-O's "Original" seasoning into Popchips. This product development stage, including flavor testing, nutritional alignment, and packaging design, might take an additional 4 to 8 months, ensuring that the final product aligns with both brands' health and quality standards.

Upon product finalization, the primary advertising campaign would kick off, utilizing the strong social media presence of Dan-O's, particularly on Facebook and TikTok, to generate buzz and anticipation. This marketing phase, slated for 2-3 months leading up to the product release, would capitalize on Dan-O's 100 million monthly social media views, featuring the chips in TikTok videos and standalone ads. The initial product launch would target the Kentucky/Midwest region, Dan-O's home base, for a focused 1-2 month trial period, allowing for direct consumer feedback and adjustments.

Financials

Financially, the initial investment for the partnership establishment, product development, and marketing could range from \$500,000 to \$1,000,000, considering both firms' contributions and shared resources. Success in the initial launch would guide the expansion phase, introducing new flavors based on consumer preferences and extending the product's reach, following a similar marketing and rollout strategy. This iterative approach not only enhances brand visibility but also allows for scalable investment based on initial market reception and sales performance.

Partnership Timeline

Quarter 1

Contact and secure a partnership with popchips

- Pitching the idea of a collaboration, and highlighting resources such as social media following
- Negotiation of terms and outline of framework between both companies

Quarter 3

Product release and advertising

- Initial product launch in the midwest
- Main forms of advertising through TikTok and Facebook, leveraging Dan-O's following
- Gauging consumer response through sales, surveys and social media

Quarter 2

Product and Marketing Development

- Conducting taste tests with the Original Seasoning and popchips
- Ensuring nutritonal value meets brands standards
- Designing aesthetic and effective packaging that reflects both brands
- Ensuring health and quality standards of both brands are met

Quarter 4

Expand product line through consumer response

- Analyzing consumer response from Q3
- Create new seasoning flavor or use second most popular seasoning as new chip flavor
- Product launch and advertise similar to initial one

Conclusion

Dan-O's Seasoning is a quick-growing brand that has the opportunity to gain stronger brand recognition and reach new audiences at a low cost. These can help with the goals that Dan-O's aims to reach, which are increasing sales and converting social media followers into active buyers while still staying true to their brand name.

This collaboration is a minimal-cost plan to enter a new food market that has stable demand, specifically when it comes to potato chips. Entering the snack market opens the opportunity for Dan-O's to obtain consistent revenue as well as increase it. Dan-O's can also reach a larger audience through this new product. By offering a cheaper food, Dan-O's can get their original classic flavor into consumers' hands easier.

Dan-O's will still appeal to their current demographic of health-conscious people, but it will be in the snack industry as well. The purpose of this new product is to introduce a new audience to Dan-O's Seasoning and lead back to their seasoning brand, which will help them complete their goals.

Risk Mitigation

Reduced control in collaboration

-Dan-O's plays an active role in product creation and has rights over what enters the market.

-Draft a clear partnership agreement of Dan-O's influence in the collaboration.

Competition with existing snacks

-Differentiate the product by emphasizing the unique combination of popchips texture and nutritional value and Dan-O's seasoning flavors.

-Create exclusive offerings that are only available through this partnership to prevent direct competition with other snacks

Initial sales momentum

-Create exclusive offerings that are only available through this partnership to prevent direct competition with existing popchips or other snacks.

- Implement feedback loops in the initial launch phase to quickly adapt the product based on consumer response

- Plan a series of promotions to maintain consumer engagement beyond the initial launch, including seasonal or themed limited-time offers.

Risk Mitigation Cont.

Consumer habits resistance

- Develop a marketing strategy that educates consumers on the health benefits of the new snack.
- Offer free samples in stores and at events to introduce consumers to the taste profile.
- Use data-driven targeting to reach consumers likely to be early adopters of health-conscious food trends.

Brand identity dilution

- Maintain distinct branding for the collaboration, such as “popchips X Dan-O’s,” to ensure complementary brand identities.
- Showcase partnership as an innovative step towards healthier snacking options in all marketing materials.

Investment and cost management

- Establish an investment strategy that allows for scalability based on market response.
- Allocate resources for market research, development, and initial marketing to ensure efficient use of investment
- Create a contingency budget to account for unforeseen costs or adjustments

Current SWOT analysis of Dan-O's Seasoning

S

Strengths

- Consumer base, loyal to social media and Dan-O's content
- Partnerships with larger retailers and grocers such as Kroger, Publix, and Safeway
- Focused on health and advertise that fact - not high in calorie

W

Weaknesses

- Low conversion rates from social to purchase
- Availability of markets - limited to the US and US consumer base
- Younger target demo might not have the \$ to spend on spices

O

Opportunities

- Expansion to foreign markets and tailored to that market/demographic, only U.S. base
- Commercials - social and paid advertising /sponsored
- Untapped older consumer base (Gen X and up)

T

Threats

- Change in consumer preference and trends - palettes changing, flavors
- Large competitors, Kraft/Heinz and McCormicks, and brand loyalty to these bigger names
- Geographic location - the midwest is not the best climate/environment for dry spices

SWOT analysis of Dan-O's Seasoning after implementation of popchips x Dan-O's

S

Strengths

- Larger consumer base to sell to
- Timeframe to release new products (6-8 months)
- Solidify their value of providing healthier alternatives to consumers

W

Weaknesses

- Lack of brand recognition due being new
- Won't have complete control over new product line
- Hard to keep up with trends since chips wouldn't be their main focus

O

Opportunities

- Expansion to foreign markets
- Expanding their chip product line with popchips
- Potential to expand into smaller shops that would be more likely to sell chips over seasonings

T

Threats

- Lower priced alternatives
- Large competitors from the snack industry and seasoning industry
- Supply Chain Issues